

It also recommended implementing outdoor distributed antenna systems in uncovered, isolated, scattered and small locations. Of course, there is need for external financial help from agencies like World Bank. There are about 5.85 telecom towers in the country.

On September 9, 2013, TRAI took an important measure to improve the health of the troubled sector it regulates. On the third attempt at auctioning 2G spectrum in 1800MHz band, the reserve or base price was reduced from ₹ 23,790 million to ₹ 14,960 million per megahertz—a 37 per cent reduction.

Also, TRAI reduced the reserve price by as much as 60 per cent in respect to three major metropolitan circles (Delhi, Mumbai and Kolkata). This is 70 per cent lower than the price discovered in the 3G auction a few years ago. The search is for an even more efficient spectrum than 2100MHz. In another concession to telecom companies, TRAI has permitted trading of spectrum that has been obtained fairly.

On November 22, 2013, empowered group of ministers (EGoM) endorsed TC's decision that recommended nearly 18 per cent higher base price for the auction of 1800MHz spectrum than suggested by TRAI. However, the price is up to 25 per cent lower than what was suggested by an internal committee of the government's Department of Telecommunications (DoT).

Against the TRAI-suggested base price of ₹ 14,969.2 million for one MHz of 18,000MHz spectrum, TC had recommended ₹ 17,647.9 million—17.89 per cent lower than DoT committee's recommendation for the same amount of airwaves in the band. TC price has been accepted by Empowered Group of Ministers (EGoM).

DoT committee had suggested two options—a price of ₹ 22,030 million or ₹ 23,780 million, based on different methods of calculation for one MHz of spectrum. EGoM price is

TABLE III
Market Share of
Service Providers

(as on April 30, 2013)

Company	Share (per cent)
Bharti Airtel	21.78
Vodafone	17.74
Reliance	14.27
Idea	14.17
BSNL	11.42
Tata	7.57
Aircel	6.93
Others	6.12

TABLE IV
Top Ten Countries with
Mobile Population (June 2013)

Rank	Country	Mobile phones (in million)	Population (per cent)
1	China	1170	85.21
2	India	864	68.72
3	USA	327	103.90
4	Indonesia	281	118.60
5	Brazil	263	136.70
6	Russia	261	183.00
7	Japan	138	108.00
8	Vietnam	134	146.50
9	Pakistan	122	68.83
10	Nigeria	114	69.00

20 per cent to 25 per cent lower than the committee's.

In case of 900MHz, EGoM has accepted TC's base—25 per cent more than what was suggested by the regulator. However, there is one change. It will sell spectrum in blocks of one MHz each instead of 1.25MHz.

EGoM, on January 27, 2014, decided to keep the rate of spectrum usage charge (SUC) for broadband wireless access (BWA) companies unchanged at one per cent of telcos' adjusted gross revenue (AGR). In its decision, EGoM went against the recommendation of TRAI that the SUC rate be set at a uniform three per cent of AGR across spectrum bands and technologies.

On April 17, 2014, the Supreme Court ruled that comptroller and

auditor general (CAG) can examine the accounts of private telecom companies. It held that the CAG can conduct an audit to ensure the government is getting its legitimate share of revenue from natural resources, such as spectrum, allocated to them.

We are talking of 4G experience for high-end consumers. But we should pay attention to connectivity to our villages also. Concerted efforts are needed to achieve this goal and boost investments.

Well-regulated, but unhindered, competition between players working within the same rules of the game contributes to a better outcome for all stakeholders. Also, right pricing of spectrum is the tool for drive-usage efficiency.

Mobile operators will be able to offer 3G services across the country with the telecom tribunal holding pacts to be valid. On April 29, 2014, the telecom dispute settlement appellate tribunal (TDSAT) quashed the penalties and ruled in favour of operators.

The impact of the ruling will be felt most by Airtel, Vodafone and Idea Cellular as they can revive their deal to offer 3G services in each other's circles, and thus get a pan-India footprint.

Consumers also benefit as they will have more options to choose from. At present, there are only three operators in each circle offering 3G services. Overall industry revenue may go up by at least two per cent. The other impact will be on the proposed spectrum-sharing policy, which could become redundant after TDSAT order.

The government should draw up a five-year roadmap for future spectrum availability and timing. This would give certainty to the business community. It would also allow telecom companies to plan their network investments. Also, once spectrum is allocated, the government should not change the rules of the game mid-way. ●